

RFM Customer Intelligence

Business Questions, Findings & Recommended Actions

400	1,221	\$6.02K	\$15.05
Customers	Transactions	Total revenue	Average sales / customer

Executive Business Problem

The business has transaction-level customer data, but needs a practical way to distinguish customer value, engagement and inactivity so that retention, upselling and promotional activity can be targeted rather than applied uniformly.

This project converts transaction behaviour into RFM-based customer segments and uses Power BI to identify where the business should protect value, develop customers, reactivate inactive customers and investigate revenue opportunities.

What the Analysis Is Designed to Answer

Who are our highest-value customers?

Identify customers with strong engagement and monetary value so the business can protect relationships that contribute materially to revenue.

Which customer groups contribute the most revenue?

Compare revenue generated by customer segment to understand where customer value is concentrated.

Are there frequent customers whose monetary value is relatively low?

Find customers who buy repeatedly but spend less per order, creating an opportunity to increase basket value.

Which customers need attention before they become inactive?

Use recency and segment status to identify customers requiring re-engagement or retention activity.

Which recent buyers show potential for further development?

Identify recently active customers who can be developed through upselling, cross-selling or loyalty initiatives.

How should customer treatment differ by segment?

Translate the segmentation into differentiated business actions instead of treating all customers identically.

Evidence From the Dashboard

Dashboard finding	What it means	Business implication
Value Customers: 171 customers (42.75%)	This is the largest customer segment in the dashboard and generates about \$2.7K in aggregate revenue.	A large customer base sits in a value-oriented cohort; the business should understand what moves these customers toward stronger loyalty/value.
Champions: 79 customers (19.75%)	Champions show low recency and high engagement, with average spend of about \$37.78 per account.	These customers represent an important retention and loyalty opportunity.
High-frequency / low-monetary cohort	A distinct cohort orders around 4–5 times but spends below \$15 per order.	Frequency is strong, but basket value is relatively low; targeted upselling and basket-building actions are relevant.
Revenue is concentrated across key segments	The dashboard shows segment-level revenue differences, with Value Customers and Champions generating the largest visible amounts.	Marketing and retention resources can be differentiated by customer value and behaviour.
Recent Buyers With High Potential	The dashboard provides a customer-level view of recent buyers, including frequency, monetary value, recency and segment.	This creates a practical shortlist for development actions such as cross-sell, upsell and loyalty engagement.

Segment-to-Action Framework

Segment	Action	Recommended solution	Business objective
Champions	Protect & deepen	VIP/loyalty treatment, early access, personalized recommendations and referral initiatives.	Retain high-value relationships and encourage continued engagement.
Value Customers	Develop	Targeted cross-sell/upsell, bundles and loyalty progression offers.	Increase value from the largest customer cohort.
Need Attention	Engage	Relevant product communication and targeted incentives based on recent behaviour.	Prevent further disengagement.
About to Sleep	Reactivate	Time-bound re-engagement campaign and personalized offers.	Move customers back into active purchasing.
At Risk	Win back	Prioritized retention outreach, tailored incentives and product reminders.	Attempt to recover customers before inactivity increases.
New / Promising	Nurture	Onboarding, cross-sell and loyalty-building journeys.	Convert promising behaviour into stronger long-term value.

Segment	Action	Recommended solution	Business objective
Lost Customers	Use selective / low-cost reactivation	Test low-cost win-back campaigns; avoid broad discounting.	Learn whether reactivation is economically viable before increasing spend.

Business Recommendations & Solutions

01 Protect high-value customers

Evidence / problem: Champions should receive differentiated retention and loyalty treatment. The dashboard identifies 79 Champions (19.75%) with average spend of about \$37.78 per account.

Recommended solution: Use VIP benefits, early access, personalized offers and referral mechanisms; monitor movement from Champion to lower-value/risk segments.

02 Increase basket value among frequent, lower-spend customers

Evidence / problem: The analysis identifies customers with approximately 4-5 orders but less than \$15 per order. Their frequency indicates engagement, while monetary value suggests room to grow basket size.

Recommended solution: Use bundles, cross-sell recommendations and threshold-based incentives such as free-shipping or benefits above a minimum order value. Test the economics rather than applying blanket discounts.

03 Prioritize retention for customers showing inactivity

Evidence / problem: At Risk and About to Sleep segments provide a structured way to identify customers who may become inactive.

Recommended solution: Create trigger-based win-back journeys using recency thresholds, personalized reminders and limited-time offers. Track reactivation rate and incremental revenue.

04 Develop recent high-potential buyers

Evidence / problem: The Recent Buyers With High Potential page gives a customer-level shortlist with Recency, Frequency, Monetary value and segment.

Recommended solution: Route these customers into development journeys: cross-sell, upsell, subscription/loyalty benefits and personalized recommendations.

05 Allocate marketing effort by customer value

Evidence / problem: The segment revenue view shows that customer groups do not contribute equally to revenue.

Recommended solution: Use segment-level prioritization: protect high-value customers, develop promising customers, test reactivation for risk cohorts, and avoid indiscriminate discounting.

06 Turn the dashboard into a recurring decision process

Evidence / problem: RFM is most useful when segmentation is refreshed and movement between segments is monitored.

Recommended solution: Refresh RFM periodically and track customer migration, revenue by segment, reactivation rate, average order value and repeat-purchase behaviour.

How This Solves the Business Problem

The project moves from raw transactions → RFM measures → behavioural segments → customer-level prioritization → business action. The value is not the RFM score by itself; it is the ability to decide which customers should be retained, developed, reactivated or treated selectively.

Recommended KPI Follow-up

KPI	Why track it
Revenue by customer segment	Measures where customer value is concentrated.
Average order / customer value	Monitors whether development actions increase monetary value.
Repeat purchase / frequency	Measures engagement and customer development.
Reactivation rate	Measures effectiveness of win-back campaigns.
Customer migration between segments	Shows whether customers are moving toward or away from valuable behaviour.
Campaign ROI / incremental revenue	Tests whether targeted actions justify marketing spend.

Project positioning

Business Analyst portfolio narrative: This project demonstrates the ability to translate customer transaction data into segmentation, identify business opportunities, and recommend differentiated actions for retention, customer development and marketing resource allocation.

Source basis: uploaded Power BI project export / dashboard snapshot. Figures and segment names in this document are taken from the supplied project material.